Case Study: QR Code UPI Payment Fraud

What is the Crime?

UPI/Online Payment Fraud is a common cybercrime in India where scammers trick people into sending money through digital payment apps. This type of fraud mainly uses social engineering, where the victim is manipulated into authorizing the payment.

How it Typically Happens (Step-by-Step)

1. The fraudster contacts a person selling an item online and pretends to be a buyer.
2. They quickly agree to the price and offer to send an advance payment.
3. Instead of sending money, they send a QR code or a payment request.
4. They tell the victim to scan the code to receive money.
5. When the victim scans the code and enters the UPI PIN, the money is transferred from the victim's account to the fraudster.

Who is Usually Targeted?

While anyone using digital payments is at risk, fraudsters frequently target small-scale online sellers, senior citizens unfamiliar with UPI mechanics, and individuals looking for "instant" cashback rewards or lottery prizes.

The Consequences

The main consequence is financial loss, as the money is transferred instantly and is difficult to recover. Victims may also experience stress and lose trust in digital payment systems.

Prevention

This fraud can be prevented by never sharing UPI PINs or OTPs and by remembering that scanning a QR code is only used to send money, not receive it.